

hold on to stocks for more than a few months at a time is doomed to end up not as a victor but as a victim.

The Early Bird Gets Wormed

Among the get-rich-quick toxins that poisoned the mind of the investing public in the 1990s, one of the most lethal was the idea that you can build wealth by buying IPOs. An IPO is an “initial public offering,” or the first sale of a company’s stock to the public. At first blush, investing in IPOs sounds like a great idea—after all, if you’d bought 100 shares of Microsoft when it went public on March 13, 1986, your \$2,100 investment would have grown to \$720,000 by early 2003.⁸ And finance professors Jay Ritter and William Schwert have shown that if you had spread a total of only \$1,000 across every IPO in January 1960, at its offering price, sold out at the end of that month, then invested anew in each successive month’s crop of IPOs, your portfolio would have been worth more than \$533 decillion by year-end 2001.

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\$533,000,000,000,000,000,000,000,000,000,000,000,000,000,000.)**

FIGURE 6-1

The Faster You Run, the Behinder You Get